

ECON 360-001: Economics of Developing Areas

George Mason University

Instructor: Eugenio Garza

Location: Planetary Hall, 224

Meeting time: Tuesday and Thursday, 10:30am – 11:45am

Virtual Office Hours: Wednesday 3:00pm-5:00pm, via Zoom

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Welcome to Economics of Developing Areas! Please read through all the syllabus.

In this course we will explore, compare, and contrast, different theories of economic development. Some of the questions we will discuss are: how is wealth created and distributed? What exactly is human flourishing? Why are some countries richer than others? What are the characteristics a country must have to be on the path towards economic development?

The learning goals of the course include the following:

1. Understand historical economic development: students will analyze key historical events and institutions that have influenced economic development in various regions, with a particular focus on how different countries transitioned from poverty to wealth as outlined in "How the World Became Rich." This includes examining the role of political, social, and cultural factors in shaping economic outcomes.
2. Ability to compare distinct development theories: students will critically evaluate different economic theories and models that explain the disparities in wealth between nations.
3. Apply the lessons of historical development to economic contexts today: students will apply the concepts and frameworks from learned throughout the course to current economic challenges faced by developing areas. This includes assessing policy recommendations for fostering economic growth and evaluating their potential effectiveness in different regional contexts.

I expect high participation and engagement for this class. In each class session, I will try to spark discussion to arrive together to interesting conclusions.

Important Notice

This course will be hosted on [Blackboard/Canvas] for the Fall 2024 semester. Please ensure you are familiar with accessing and navigating this platform.

Resources and support are available at: <https://lms.gmu.edu/getting-started-students/> to help you get started. If you have any questions, do not hesitate to reach out to me or contact the ITS Support Center for assistance.

Reading Material

We will mostly use the book “How the World Became Rich: The Historical Origins of Economic Growth”, by Mark Koyama and Jared Rubin. I will also assign a series of journal articles, case studies, and other readings that you **will be able to find on CANVAS**.

For each class, you are expected to have done the corresponding reading. Be prepared for discussion!

Reaction papers. Write a one-page reaction to each reading (10 responses, each worth 4 points of your final grade, for a total of 40 points).

You will have to answer two questions:

1. What is the main thesis of the article?
2. What reasons does the author give to affirm his thesis?

For the Case Study readings in the second part of the course, the reaction paper must answer the following:

1. In your own words, what are the economic phenomena that allowed for the country in the case study to develop? What are the phenomena that hinder economic development for that country today?

Midterm exam (10 questions, each worth 2.5 points of your final grade, for a total of 25 points).

The midterm will consist of 10 short answer prompts. Closed book, closed notes, handwritten.

Final exam (14 questions, each worth 2.5 points, for a total of 35 points). The final exam will consist of 14 short answer prompts. Closed book, closed notes, handwritten. The final will be comprehensive but weighted heavily toward material covered after the midterm exam.

Course grading: Reaction papers (40 points) + Midterm (25 points) + Final (35 points) = 100 points

Grading scale:

98-100 = A+

93-97 = A

90-92 = A

88-89 = B+

83-87 = B

80-82 = B

78-79 = C+

73-77 = C

70-72 = C

60-69 = D

< 60 = F

Attendance and Late policy

I will not take attendance. However, this course will be very difficult to pass for anyone who is regularly absent. Regarding the weekly assignments, I will not accept late work unless excused before it is due.

Special accommodations

If you require any special accommodations, please email me during the first week of the term. Please do note that I cannot extend accommodations without the approval of the GMU Office of Disability Services.

Academic integrity

It is expected that students adhere to the George Mason University Honor Code as it relates to integrity regarding coursework and grades. The Honor Code reads as follows:

“To promote a stronger sense of mutual responsibility, respect, trust, and fairness among all members of the George Mason University community and with the desire for greater academic and personal achievement, we, the student members of the University Community have set forth this: Student members of the George Mason University community pledge not to cheat, plagiarize, steal and/or lie in matters related to academic work.”

More information about the Honor Code, including definitions of cheating, lying, and plagiarism, can be found at the Office of Academic Integrity website at <https://oai.gmu.edu>

Global Understanding

This course fulfills GMU’s Global Understanding requirement. The goals of the Global Understanding courses consist in the following four learning outcomes:

1. Identify and articulate one’s own values and how those values influence their interactions and relationships with others, both locally and globally.
2. Demonstrate understanding of how the patterns and processes of globalization make visible the interconnections and differences among and within contemporary global societies.
3. Demonstrate the development of intercultural competencies.
4. Explore individual and collective responsibilities within a global society through analytical, practical, or creative responses to problems or issues, using resources appropriate to the field.

Schedule

Session	Time	Date	Theme	Reading for class	Assignment
1	10:30 AM - 11:45 AM	Tuesday, 27 August 2024	Introduction: Wealth of Nations?	Wealth of Nations ch. 1-3, especially the wollen coat passage	
2	10:30 AM - 11:45 AM	Thursday, 29 August 2024	Spontaneous Orders	Use of Knowledge in Society	Reaction 1
3	10:30 AM - 11:45 AM	Tuesday, 3 September 2024	Did the World Become Rich?	KR ch. 1	
4	10:30 AM - 11:45 AM	Thursday, 5 September 2024	Geography and Economic Growth	KR ch. 2	
5	10:30 AM - 11:45 AM	Tuesday, 10 September 2024	Institutions	KR ch. 3	
6	10:30 AM - 11:45 AM	Thursday, 12 September 2024	Institutions, part 2	North & Weingast 1989	Reaction 2
7	10:30 AM - 11:45 AM	Tuesday, 17 September 2024	Institutions, part 3	Boettke, et al. (2008). Institutional Stickiness.	Reaction 3
8	10:30 AM - 11:45 AM	Thursday, 19 September 2024	Culture	KR ch. 4	
9	10:30 AM - 11:45 AM	Tuesday, 24 September 2024	Culture, part 2	Storr & Choi, A Culture of Rent Seeking	Reaction 4
10	10:30 AM - 11:45 AM	Thursday, 26 September 2024	Birth rates and growth	KR ch. 5	
11	10:30 AM - 11:45 AM	Tuesday, 1 October 2024	Colonization and Exploitation	KR ch. 6	
12	10:30 AM - 11:45 AM	Thursday, 3 October 2024	Colonization and Exploitation, part 2	Acemoglu et al. (2001) The Colonial Origins of Comparative Development.	Reaction 5
13	10:30 AM - 11:45 AM	Tuesday, 8 October 2024	Review for midterm	Movie: Poverty, Inc.	
14	10:30 AM - 11:45 AM	Thursday, 10 October 2024	Midterm exam		
15	10:30 AM - 11:45 AM	Tuesday, 15 October 2024	Why Did Northwestern Europe Become Rich First?	KR ch. 7	
16	10:30 AM - 11:45 AM	Thursday, 17 October 2024	Britain's Industrial Revolution I	KR ch. 8	
17	10:30 AM - 11:45 AM	Tuesday, 22 October 2024	Britain's Industrial Revolution II		
18	10:30 AM - 11:45 AM	Thursday, 24 October 2024	The Rise of the Modern Economy	KR ch. 9	
19	10:30 AM - 11:45 AM	Tuesday, 29 October 2024	Property Rights	Demsetz (1967)	Reaction 6
20	10:30 AM - 11:45 AM	Thursday, 31 October 2024	Discussion on Adam Smith	https://www.liberalcurrents.com/adam-smith-left-right-other-or-all-of-the-above/	
21	10:30 AM - 11:45 AM	Tuesday, 5 November 2024	Election Day - no class	Election Day - no class	Election Day - no class

22	10:30 AM - 11:45 AM	Thursday, 7 November 2024	Institutions and Growth revisited	Glaeser et al. (2004)	Reaction 7
23	10:30 AM - 11:45 AM	Tuesday, 12 November 2024	Unbundling Institutions	Acemoglu & Johnson (2005)	Reaction 8
24	10:30 AM - 11:45 AM	Thursday, 14 November 2024	Industrialization	Ch. 10	
25	10:30 AM - 11:45 AM	Tuesday, 19 November 2024	The New Comparative Economics	Djankov et al. (2003)	Reaction 9
26	10:30 AM - 11:45 AM	Thursday, 21 November 2024	The Market for Ideas	Mokyr (2017)	Reaction 10
27	10:30 AM - 11:45 AM	Tuesday, 26 November 2024	The World is Rich	Ch. 11	
28	10:30 AM - 11:45 AM	Thursday, 28 November 2024	Thanksgiving break – No class	Thanksgiving break – No class	Thanksgiving break – No class
29	10:30 AM - 11:45 AM	Tuesday, 3 December 2024	Final review		
30	10:30 AM - 11:45 AM	Thursday, 5 December 2024	Final exam	Final exam	Final exam